

seemed suboptimal. For instance, TIPS might not play a role in an assets-only optimization problem, but they might do a better overall job of meeting spending needs, especially in high-inflation environments.

5. Annuity Allocation

The issue: Using product allocation to devote some financial assets to purchasing guaranteed income products may improve outcomes.

Naïve investor: Views annuities as a gamble on dying too soon and ignores them as a retirement income option.

Improved outcome: View annuities as insurance against outliving your wealth by relying on the guaranteed income for life. Allocate part of the financial portfolio to an income annuity at retirement, while also keeping the same overall amount invested in stocks. In other words, part of the allocation to bonds in the retirement portfolio is transitioned into an income annuity.

6. Social Security Claiming

The issue: Social Security retirement benefits may be claimed between ages sixty-two and seventy, with credits provided for those who delay, yet Americans frequently claim Social Security early.

Naïve investor: Claims Social Security retirement benefits at age sixty-two, as do nearly half of Americans.

Improved outcome: Make joint Social Security claiming decisions based on the potential insurance value of Social Security to provide the most possible lifetime income.

By making these improved financial decisions, retirement income can be increased dramatically. Exhibit 9.2 shows that on a risk-adjusted basis, retirement income is 31.8 percent higher for the individual making good financial planning decisions relative to someone making naïve planning decisions. How much is this worth in alpha terms? In other words, how much would portfolio returns need to be increased to support a 31.8 percent larger spending level?